

Customer Churn Analysis Report

Project Summary

This project analyzes a telecom customer dataset to understand the factors that influence customer churn. The objective is to identify customer segments with a higher likelihood of leaving the company and provide actionable recommendations to improve customer retention and reduce revenue loss.

Key Insights

1. Customers with month-to-month contracts exhibit the highest churn rate, while one-year and two-year contracts show significantly lower churn.
2. Fiber optic internet users have a noticeably higher churn rate compared to DSL users and customers without internet service.
3. Customers without Online Security are more likely to churn than those who subscribe to the service.
4. Customers without Tech Support show substantially higher churn rates, indicating the importance of customer assistance services.
5. Customers without Device Protection and Online Backup services are more likely to leave the company.
6. Customers without dependents or partners tend to churn more frequently than customers with dependents or partners.
7. Phone Service and Multiple Lines show a relatively weak relationship with churn compared to contract and internet-related services.
8. Customers with longer tenure generally demonstrate better retention than newer customers.

Recommendations

1. Encourage customers to migrate from month-to-month contracts to annual or multi-year plans through discounts and loyalty incentives.
2. Investigate the causes of churn among fiber optic customers and improve service quality, pricing, or customer support.
3. Bundle Online Security, Device Protection, and Online Backup services with internet packages to increase customer retention.
4. Strengthen Tech Support services and proactively engage customers facing service issues.
5. Develop targeted retention campaigns for new customers during their initial months of service.
6. Offer personalized promotions to customers identified as high-risk churn candidates.
7. Implement predictive churn monitoring to identify and retain customers before they leave.
8. Improve customer engagement through loyalty programs, reward points, and exclusive benefits.

Conclusion

The analysis indicates that contract type, internet service type, and value-added services such as Online Security, Tech Support, Device Protection, and Online Backup are the strongest factors associated with customer churn. By focusing on these areas, the telecom company can improve customer satisfaction, increase retention, and reduce revenue loss caused by customer attrition.